

Principles of Sales and Marketing (404MAN)

**Marketing in the modern organisation
Week 1 – Lesson 2**

Register



Learning Intentions

- Compare a production orientation and a marketing orientation



- Understand how to create customer value and satisfaction



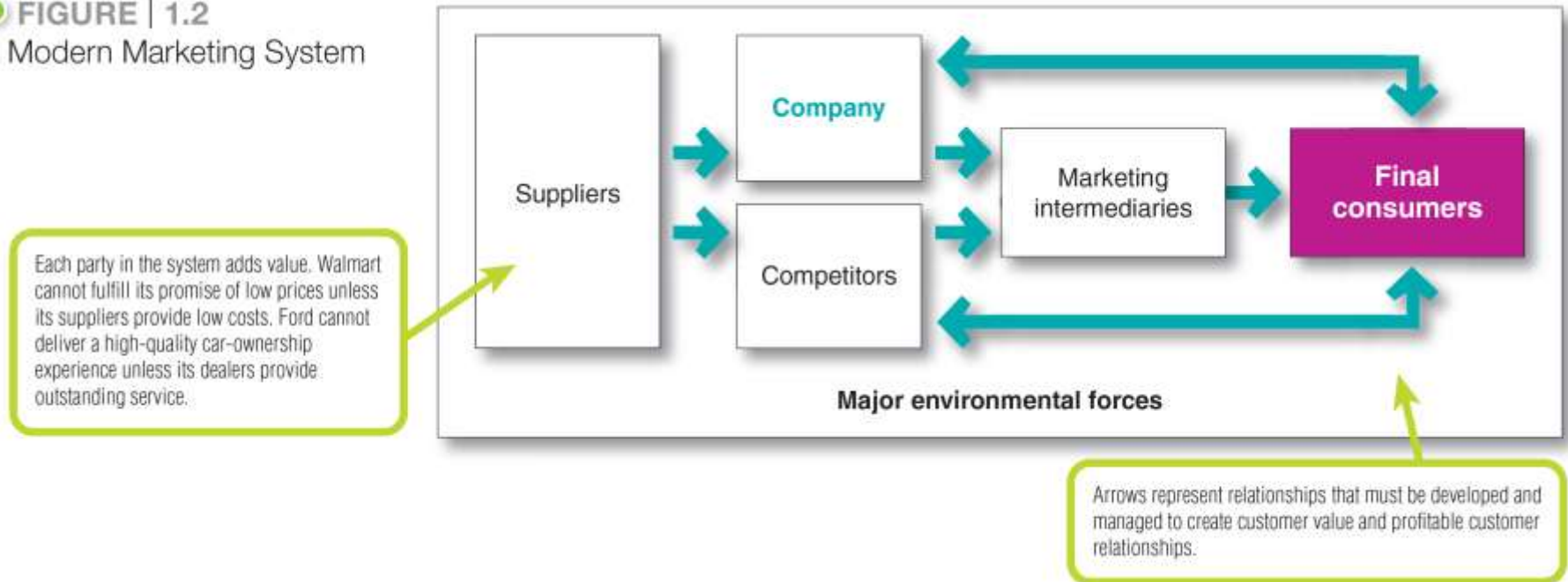
- Explain company-wide strategic planning and its steps



Understanding the Marketplace and Customer Needs

Markets

FIGURE | 1.2
A Modern Marketing System



Watch and Discuss

- <https://www.youtube.com/watch?v=xqomkZ8ntQA>
- https://www.youtube.com/watch?v=Y-lBvI6u_hw

Designing a Customer Value-Driven Marketing Strategy

Selecting Customers to Serve

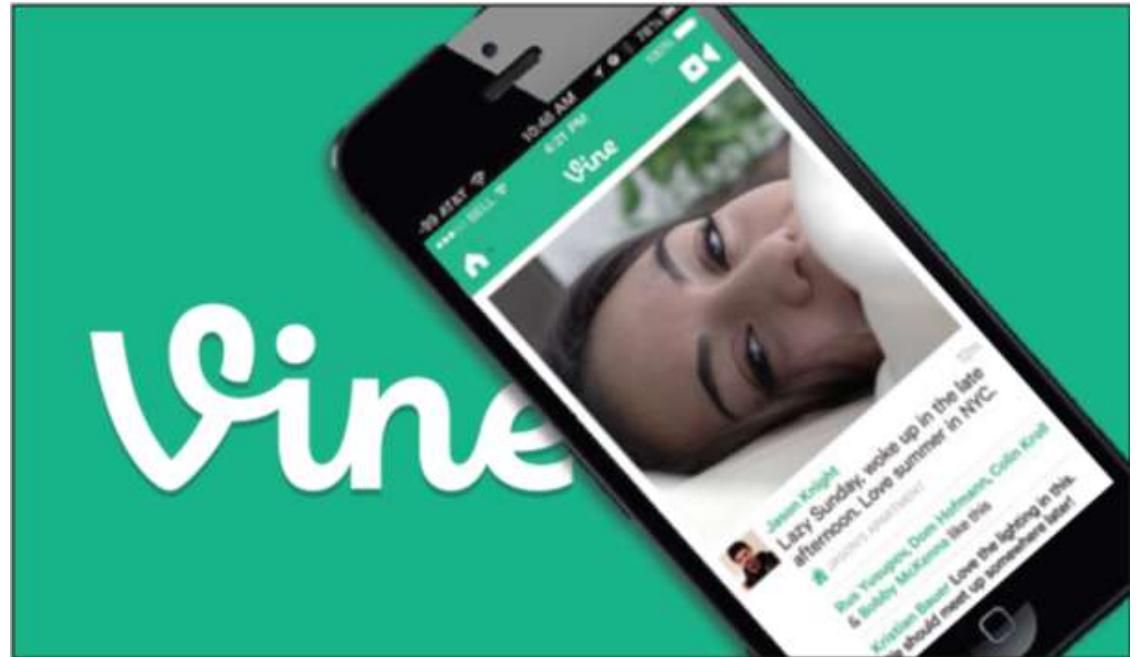
Marketing management is the art and science of choosing target markets and building profitable relationships with them.

- What customers will we serve?
- How can we best serve these customers?

Designing a Customer Value-Driven Marketing Strategy

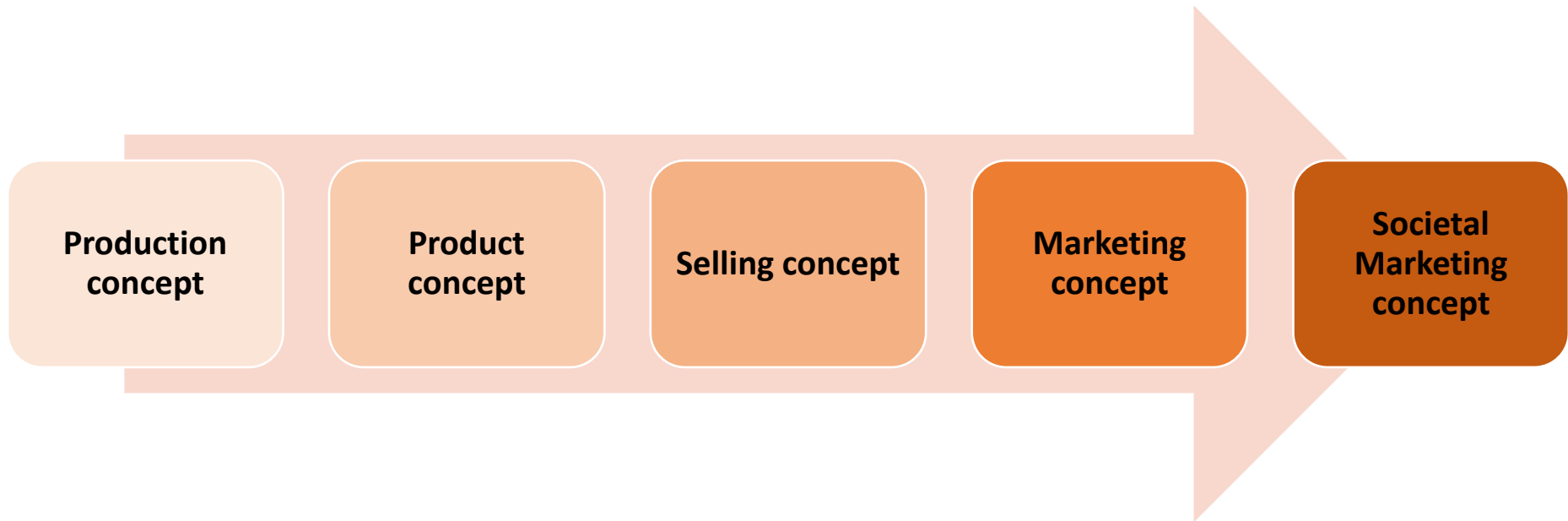
Choosing a Value Proposition

A brand's **value proposition** is the set of benefits or values it promises to deliver to customers to satisfy their needs.



Designing a Customer Value-Driven Marketing Strategy

Marketing Management Orientations



Designing a Customer Value-Driven Marketing Strategy

Marketing Management Orientations

Production concept:

Consumers will favor products that are available and highly affordable.

Designing a Customer Value-Driven Marketing Strategy

Marketing Management Orientations

Product concept:

Consumers favor products that offer the most quality, performance, and features.

The focus is on continuous product improvements.

Group Activity

- <https://www.youtube.com/watch?v=tu160ycFU4g>
-
- Group Activity: Investigate the techniques used by an organisation who adopt the production concept. Present findings.

Designing a Customer Value-Driven Marketing Strategy

Marketing Management Orientations

Selling concept:

Consumers will not buy enough of the firm's products unless the firm undertakes a large-scale selling and promotion effort.

Designing a Customer Value-Driven Marketing Strategy

Marketing Management Orientations

Marketing concept:

Know the needs and wants of the target markets and deliver the desired satisfactions better than competitors.

Designing a Customer Value-Driven Marketing Strategy

Marketing Management Orientations

Societal marketing:

The company's marketing decisions should consider consumers' wants, the company's requirements, consumers' long-run interests, and society's long-run interests.

Group Activity

<http://www.marketingteacher.com/marketing-concept-2/>

Group Activity: Cadbury's and McDonalds

- Give examples of how the above organisations adopt the marketing concept. Use specific examples to support your answers.

Designing a Customer Value-Driven Marketing Strategy

Marketing Management Orientations

● FIGURE | 1.3

Selling and Marketing Concepts Contrasted



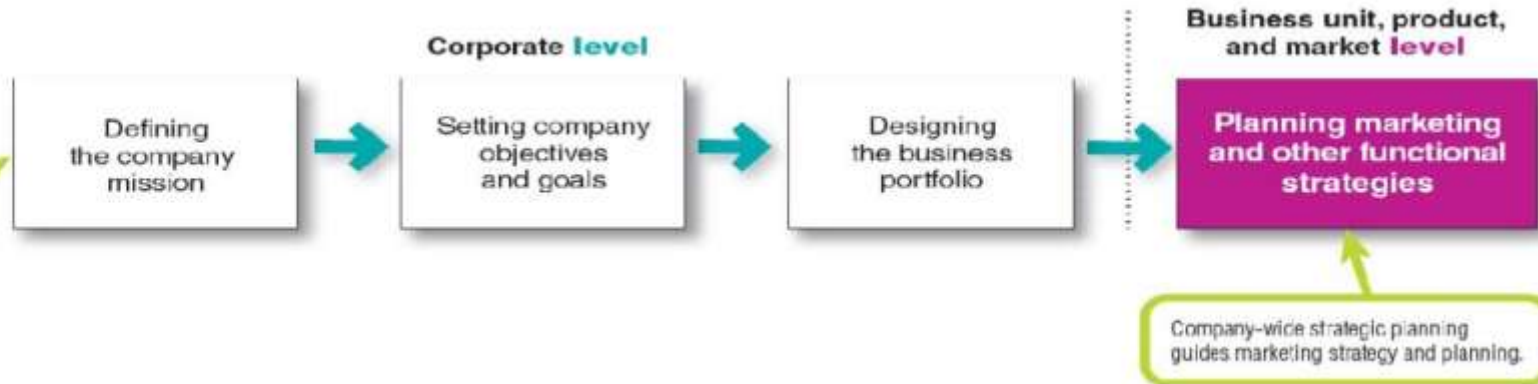
Company-Wide Strategic Planning

Strategic planning is the process of developing and maintaining a strategic fit between the organization's goals and capabilities, and its changing marketing opportunities.

Company-Wide Strategic Planning

Steps in Strategic Planning

FIGURE | 2.1
Steps in Strategic Planning



Company-Wide Strategic Planning

Defining a Market-Oriented Mission

- The mission statement is the organization's purpose; what it wants to accomplish in the larger environment.



IBM's customer-focused mission is summed up by the company's marketing and positioning campaign: "Let's Build a Smarter Planet."

Reprint Courtesy of International Business Machines Corporation, © International Business Machines Corporation.

Company-Wide Strategic Planning

Heinz's overall objective is to build profitable customer relationships by developing foods “superior in quality, taste, nutrition, and convenience” that embrace its nutrition and wellness mission.



Company-Wide Strategic Planning

Setting Company Objectives and Goals

Business objectives

- Build profitable customer relationships
- Invest in research
- Improve profits

Marketing objectives

- Increase market share
- Create local partnerships
- Increase promotion

Designing The Business Portfolio

The business portfolio is the collection of businesses and products that make up the company.

Portfolio analysis is a major activity in strategic planning whereby management evaluates the products and businesses that make up the company.

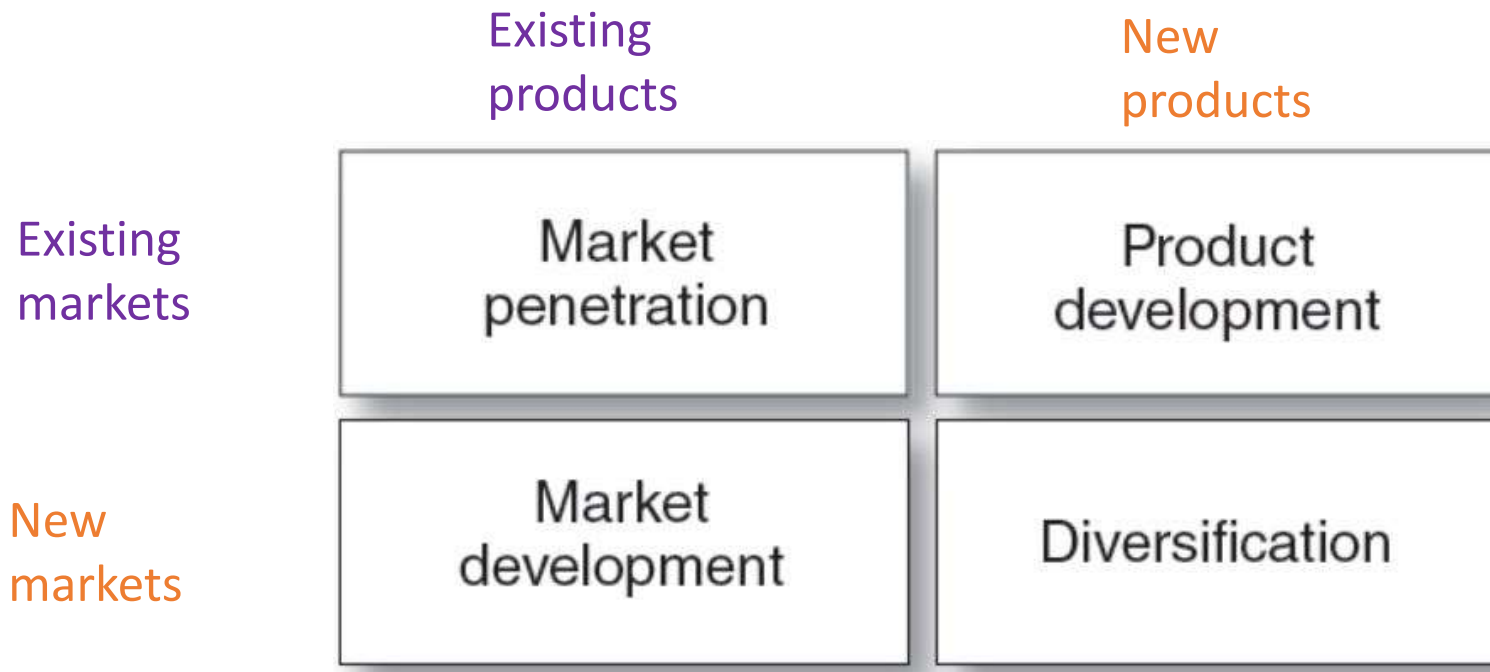


ESPN is much more than just a haphazard collection of media entities. It's a skillfully managed brand portfolio that delivers an immersive sports entertainment experience, inexorably linked with customers' sports memories, realities, and anticipations.

Mike Windle/Stringer/Getty Images

Designing The Business Portfolio

Developing Strategies for Growth and Downsizing



Designing the Business Portfolio

Developing Strategies for Growth and Downsizing



Designing the Business Portfolio

Developing Strategies for Growth and Downsizing

Downsizing is when a company must prune, harvest, or divest businesses that are unprofitable or that no longer fit the strategy.

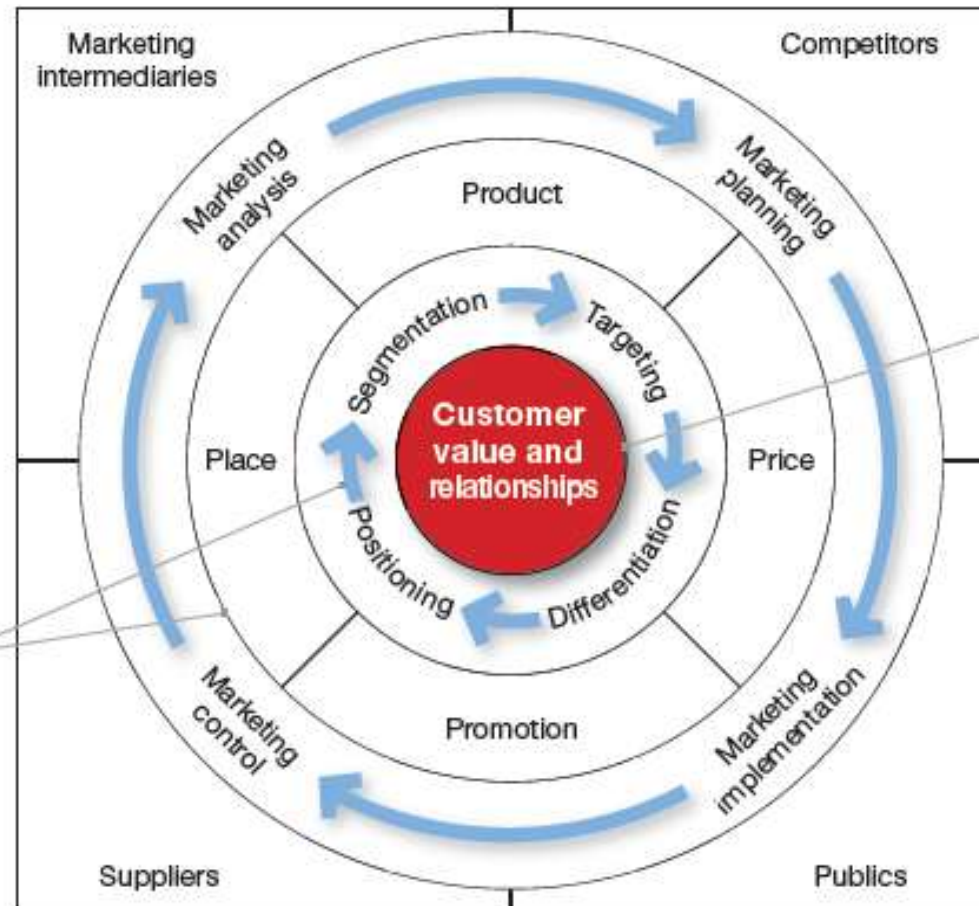
Company-Wide Strategic Planning

Customer Value-Driven Marketing Strategy

Marketing strategy is the marketing logic by which the company hopes to create customer value and achieve profitable customer relationships.

Marketing Strategy and the Marketing Mix

● FIGURE | 2.4
Managing Marketing Strategies
and the Marketing Mix



Marketing strategy involves two key questions: Which customers will we serve (segmentation and targeting)? and How will we create value for them (differentiation and positioning)? Then the company designs a marketing program—the four Ps—that delivers the intended value to targeted consumers.

At its core, marketing is all about creating customer value and profitable customer relationships.

Marketing Strategy and the Marketing Mix

Customer Value-Driven Marketing Strategy

Market segmentation is the division of a market into distinct groups of buyers who have different needs, characteristics, or behaviors and who might require separate products or marketing mixes.

Market segment is a group of consumers who respond in a similar way to a given set of marketing efforts.

Marketing Strategy and the Marketing Mix

Customer Value-Driven Marketing Strategy

Market targeting is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

Market positioning is the arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers.

Differentiation begins the positioning process.

Marketing Strategy and the Marketing Mix

Developing an Integrated Marketing Mix

Marketing mix is the set of controllable, tactical marketing tools—product, price, place, and promotion—that the firm blends to produce the response it wants in the target market.

Traffic Light *it*

Where is your learning at?



Red = I have misunderstood some of the topics. (write down 2 questions that you need help with)

Amber = I have understood most of the topics so far (write down 1 question and 1 key theme you have understood)

Green = I have understood the topics so far (write down 2 key themes from the lesson to show your understanding)

Reading



Essential

Jobber, D. and Ellis-Chadwick, F. (2016) Principles and Practice of Marketing. 8th edn. Maidenhead: McGraw-Hill

Soloman, M. (2017) Consumer Behaviour: Buying, Having, and Being. 12th edn. Harlow: Pearson

Recommended

Fill, C. and Turnball, S. (2016) Marketing Communications: Discovery, Creation and Conversations. 7th edn. Harlow: Pearson

Kotler, P., Piercy, N., Harris, L., and Armstrong, G. (2016) Principles of Marketing. European Edition. 7th edn. Harlow: Pearson

Chaffey, D. and Ellis-Chadwick, F. (2015) Digital Marketing: Strategy, Implementation and Practice. 6th edn. Harlow: Pearson

Dibb, S., Simkin, L. Pride, W. and Ferrell, O. (2016) Marketing: Concepts and Strategies. 7th edn. Andover: Cengage Learning

References



Kotler, P. and Armstrong, G. (2017) Principles of Marketing, 17th edn.
Harlow: Pearson

Moncrief, W.C. and Marshall, G.W. (2005) The evolution of the seven steps
of selling, Industrial Marketing Management, 34: 13–22